

Financial Market Inflation Expectations

— 9/2023



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I. SUMMARY

Sixteen domestic and two foreign respondents took part in the September survey of financial market inflation expectations. The results show that the view on inflation and GDP this year was unchanged. The economic growth outlooks for 2024 are slightly less optimistic than a month ago. All the respondents were expecting the CNB's key interest rates to remain unchanged in September. In the following months, however, the 2W repo rate is expected to drop by 2 pp. The opinion on the future path of the koruna exchange rate reflects its depreciation in recent weeks. At the same time, the analysts believe that the koruna will tend to weaken moderately from its current levels at the one-year horizon. The forecast for nominal wage growth has been revised down for both this year and the next.

DOMESTIC ANALYSTS	I.	II.	III.	IV.	V.	VI.	VII.	VIII.	IX.	X.	XI.	XII.
Jiří Polanský, Česká spořitelna	+	+		+	+	+	+	+	+			
David Marek, Deloitte Czech Republic	+	+	+	+	+	+	+	+	+			
Jan Vejrnělek, Komerční banka	+	+	+	+	+	+	+	+	+			
Patrik Rožumberský, Unicredit Global Research	+	+	+	+	+	+	+	+	+			
Helena Horská, Vratislav Záměš, Raiffeisenbank	+	+	+	+	+	+	+	+	+			
Petr Dufek, Banka CREDITAS	+	+	+	+	+	+	+	+	+			
Petr Sklenář, J&T Banka	+	+	+	+	+	+	+	+	+			
Radomír Jách, Generali Investments CEE	+	+	+	+	+	+	+	+	+			
Jaromír Šindel, Citi	+		+			+	+	+	+			
Kamil Kovář, Moody's Analytics	+	+	+		+	+		+	+			
Jan Kudláček, Tomáš Lébl, Patrick Vyroubal, UNIQA	+	+	+	+	+	+	+	+	+			
Jakub Seidler, ČBA	+	+	+	+	+	+	+		+			
Lukáš Kovanda, Trinity Bank	+	+	+	+	+	+	+	+	+			
Michal Šoltés, RoklenFin	+	+	+	+	+	+	+	+	+			
Martin Janičko, MND	+	+	+	+	+	+	+	+	+			
Jan Bureš, ČSOB		+	+	+	+	+	+		+			
FOREIGN ANALYSTS												
Basak Edizgil, Goldman Sachs		+	+	+	+		+		+			
Sili Tian, The Economist Intelligence Unit	+	+		+	+		+	+				
Jose A. Cerveira, Henry Burdon, JP Morgan	+	+	+	+	+	+	+	+	+			

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 26 September 2023

II. INFLATION

FORECAST FOR YY CPI GROWTH

(%)

September 2023	CPI	
	1Y	3Y
minimum	1.6	2.0
average	2.7	2.4
maximum	3.5	3.5

1Y AND 3Y FORECAST FOR CPI GROWTH

(%)

Date of Prediction	ANALYSTS		CNB (%)
	1Y	3Y	1Y
IX.22	6.7	2.8	3Q: 6.3
XI.22	7.3	2.5	4Q: 4.2
I.23	4.8	2.6	
II.23	3.8	2.7	1Q: 2.3
IV.23	3.5	2.6	
VI.23	3.1	2.5	2Q: 2.1
VIII.23	2.7	2.4	
IX.23	2.7	2.4	3Q: 1.9

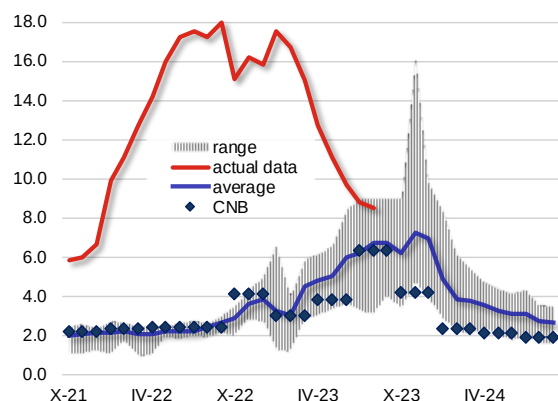
The year-on-year growth rate of the consumer price index decreased to 8.5% in August, which is 0.3 pp less than in July. According to the CZSO, inflation slowed in most consumer basket categories. However, the slowdown was dampened by growth in fuel prices in the transport category. The increase in fuel prices also had the largest effect on month-on-month inflation, which reached 0.2%. The published data probably did not surprise the analysts, as their forecasts in our survey remained unchanged. Inflation is thus still expected to be at 2.7% at the one-year horizon. At the three-year horizon, it could slow further to 2.4%. The range of the one-year estimates narrowed owing to a decline in the maximum value. A drop in the maximum value and a rise in the minimum one caused the three-year forecasts to narrow.

According to the analysts, inflation will continue to slow due to persisting base effects, weaker household consumption and falling agricultural producer prices. It may also reflect cheaper electricity, as distributors are signalling downward adjustments to their prices. Some of the analysts estimate that inflation will drop below 8% in September. The slowdown in inflation will be temporarily interrupted in the last quarter of this year as a result of last year's introduction of the energy savings tariff, which was included in the statistics as a drop in electricity prices. The start of next year, when inflation is expected to fall sharply and return to the tolerance band around the CNB's 2% target (after the statistical effect of the savings tariff and the high base following the surge in prices early this year fades out), will be crucial though. Fiscal consolidation and an easing of the tight labour market are expected to help slow inflation in the course of next year. Energy prices constitute a major uncertainty in both directions.

The CNB's summer forecast expects annual consumer price inflation of 1.9% in 2024 Q3.

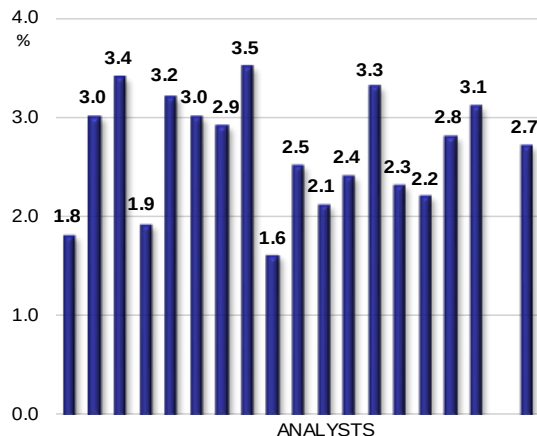
CONSUMER PRICE INDEX

ACTUAL DATA AND 1Y PREDICTIONS OF ANALYSTS (AVERAGE) AND OF CNB (%)



CONSUMER PRICE INDEX AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

FORECAST FOR GDP GROWTH

(%)

September 2023	current year	current+ 1Y
minimum	-0.2	0.8
average	0.1	2.2
maximum	0.3	3.0

FORECAST FOR GDP GROWTH

(%)

Date of Prediction	current year	current+1Y
IX.22	2.4	1.2
XI.22	2.4	0.0
I.23	0.0	2.4
II.23	0.2	2.6
IV.23	0.1	2.6
VI.23	0.3	2.5
VIII.23	0.1	2.3
IX.23	0.1	2.2

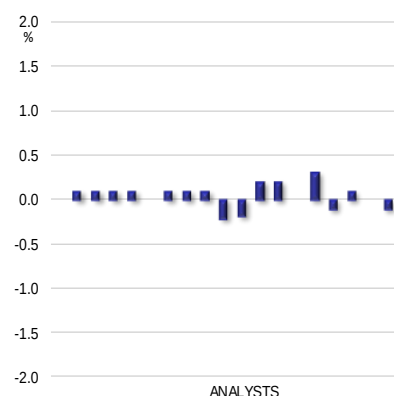
The CZSO revised the GDP growth figure for 2023 Q2. The year-on-year change was revised from -0.6% to -0.4%, while the quarter-on-quarter figure was confirmed at 0.1%. The year-on-year drop in Czech economic output was due to lower final household consumption and declining inventories. A deeper contraction was prevented by general government consumption, investment and external demand. The quarter-on-quarter growth was driven by investment, external demand and also by household consumption, which grew for the first time in six quarters. By contrast, inventories slowed the growth. The analysts' view on the future performance of the Czech economy was broadly unchanged. As in the previous survey, they expect slight growth of 0.1% this year. Next year, the Czech economy is expected to accelerate to 2.2%, which is 0.1 pp less than predicted in August. The range of the estimates for this year narrowed owing to a drop in the maximum value and a rise in the minimum one. The range of the outlooks for next year narrowed only slightly due to a sharper fall in the maximum value.

Some of the analysts are of the opinion that, despite the year-on-year decline of the economy and its expected virtual stagnation this year, the quarter-on-quarter growth in household consumption is cause for slight optimism, as household spending will be an important factor for the return of the economy to the pre-pandemic level. This will be aided by brisk growth in nominal wages amid slowing inflation, which will lead to real wage growth. The renewed investment activity of firms is also viewed as positive. However, caution prevails among some of the respondents, who point out that the optimism about the current recovery may be only temporary given the latest discouraging data from the global economy. The main risk thus comes from developments abroad and signs of a downturn in Germany – the Czech Republic's major trading partner. As a result, more robust economic growth is not expected until next year, when the shape of the euro area economy is predicted to improve and the consumption of Czech households to strengthen as inflation falls (and real wages rise).

The CNB's summer forecast expects GDP growth of 0.1% in 2023 and 2.3% in 2024.

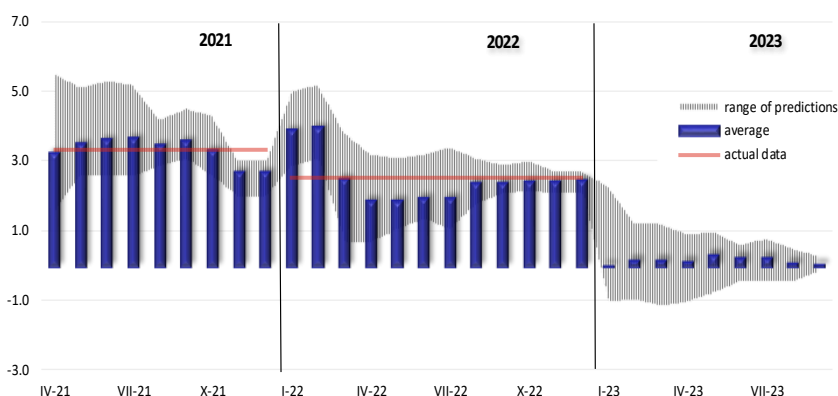
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



GDP GROWTH AT END OF YEAR

AVERAGE AND RANGE OF PREDICTIONS



IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

September 2023	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
minimum	7.00	4.00	6.50	3.80	4.20	3.20	4.00	2.94
average	7.00	4.90	6.89	4.70	4.42	3.74	4.17	3.61
maximum	7.00	6.00	7.20	5.80	5.23	4.50	4.40	4.30

FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

Date of Prediction	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
IX.22	7.00	6.04	7.42	5.98	5.12	4.51	4.55	4.14
XI.22	7.01	6.00	7.43	5.99	5.43	4.80	4.97	4.67
I.23	7.00	5.85	7.27	5.69	4.73	4.26	4.32	4.07
II.23	7.00	5.75	7.20	5.49	4.83	4.29	4.40	4.06
IV.23	7.00	5.56	7.18	5.34	4.98	4.22	4.53	4.09
VI.23	7.00	5.43	7.14	5.29	4.67	4.05	4.27	3.88
VIII.23	7.00	5.11	6.96	4.88	4.34	3.84	4.11	3.66
IX.23	7.00	4.90	6.89	4.70	4.42	3.74	4.17	3.61

ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

	2W repo rate	12M PRIBOR	5Y IRS	10Y IRS
15.9.	7.00	6.84	4.27	4.13

In line with the CNB's communications, all the respondents were again expecting the key interest rates to remain unchanged and the 2W repo rate to stay at 7.00% at the September monetary policy meeting.

The analysts have reflected the Bank Board members' rhetoric in their outlooks and clearly perceive a shift towards caution among the latter. They have noticed the statements made by some of the Bank Board members, who, for example, say they cannot imagine cutting rates when the ECB is conversely raising them and are warning against the risk of demand pressures linked with the tight labour market. Although some of the analysts think that purely economic data imply a need to lower rates in Q3 already, as inflation expected for next year is relatively close to the 2% target, the CNB will most likely want to wait longer and start lowering rates later to be sure that inflation is under control. The first cut in the CNB's key interest rates is thus estimated to take place in November or at the start of next year.

ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

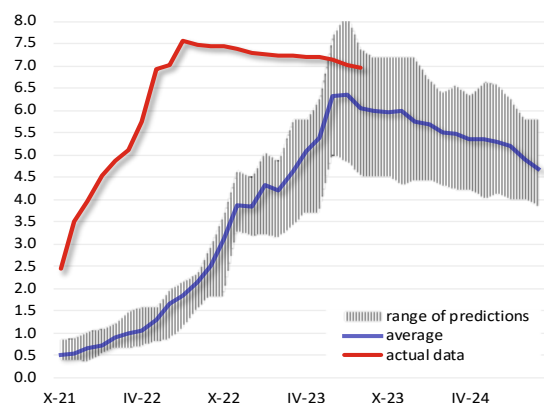
2W repo rate level in 1Y (%)	4.00	4.25	4.50	4.75	5.00	5.25	5.50	5.75	6.00	6.25
number of analysts - current survey	3	0	5	1	3	2	1	0	3	0
-previous survey	0	1	5	0	3	2	2	0	1	2

Market interest rates have shown mixed movements since the cut-off date of the previous survey, and the analysts' forecasts have also recorded mixed revisions, though often in the opposite direction to the movements of the corresponding market rates. The 12M PRIBOR reference interbank rate increased compared to the previous survey, but its average one-month and one-year estimates shifted downwards. Market IRS rates declined, but the one-month forecasts rose while the one-year forecasts fell. The analysts on average expect the 12M PRIBOR to fluctuate around 4.70% in September next year, which is more than 2 pp below the current level. Despite this expected sharp drop in short interest rates, IRS rates are still expected to remain at lower levels one year ahead – the 5Y IRS at 3.74% and the 10Y IRS at 3.61%. According to these estimates, the yield curve normalisation process will take more than a year from the current perspective.

The CNB's summer forecast implies a 2W repo rate of 4.1% in 2024 Q3.

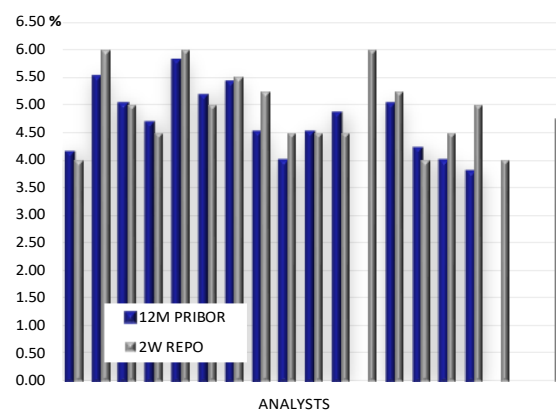
12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS



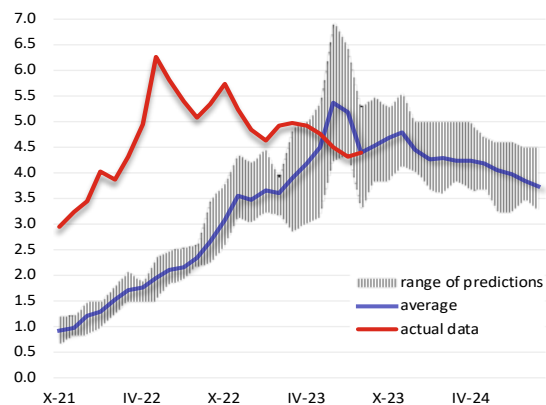
2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



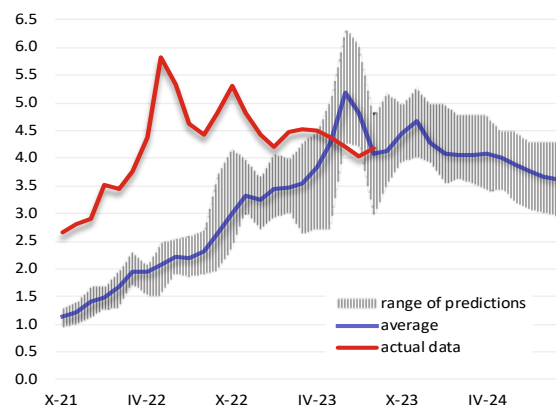
5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



V. EXCHANGE RATE

1M AND 1Y EXCHANGE RATE FORECAST

	1M	1Y
IX.22	24.64	25.03
XI.22	24.50	24.88
I.23	24.12	24.39
II.23	23.84	24.33
IV.23	23.47	24.07
VI.23	23.74	23.94
VIII.23	24.16	24.16
IX.23	24.45	24.28

EXCHANGE RATE FORECAST

September 2023	EUR/CZK	
	1M	1Y
minimum	24.10	23.00
average	24.45	24.28
maximum	24.90	25.50

ACTUAL EUR/CZK AS OF FORECAST DEADLINE

15.9.	24.51
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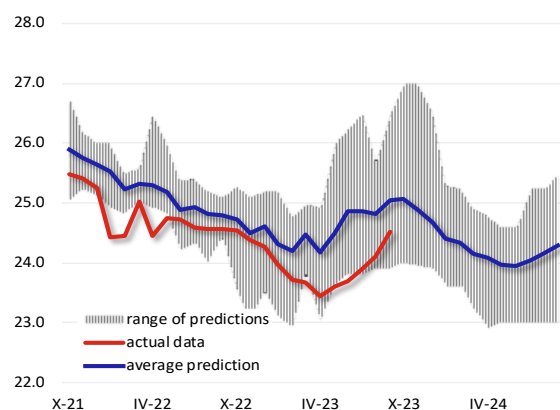
The koruna depreciated significantly between mid-August and mid-September, moving from CZK 24.14 to CZK 24.51 to the euro. This movement was strongly affected by an unexpectedly forceful monetary policy easing in Poland and related depreciation of the zloty. Concern and speculation that the CNB might also ease its monetary policy faster than expected contributed to the depreciation of the koruna. A statement by Governor Aleš Michl, who, in a television interview, ruled out a Poland-style early rate cut, caused the koruna to correct.

Given the latest exchange rate developments, the analysts have revised their outlooks. The one-month forecast recorded the larger change. The koruna will be close to CZK 24.45 to the euro in mid-October according to the average estimate. The analysts probably believe the recent depreciation to be too large and only temporary, as they no longer predict a weakening but a slight strengthening of the Czech currency at the one-year horizon. They expect the koruna to stand at CZK 24.28 to the euro in September 2024.

The CNB's summer forecast expects the koruna at CZK 24.7 to the euro in 2024 Q3.

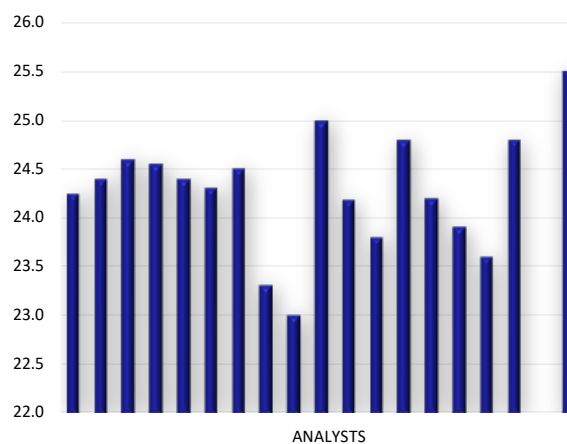
EUR/CZK

ACTUAL DATA, 1Y PREDICTIONS AND THEIR RANGE



EUR/CZK AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH

(%)

September 2023	current year	current+1Y
minimum	7.7	5.1
average	8.4	6.7
maximum	9.4	8.0

FORECAST FOR NOMINAL WAGE GROWTH

(%)

Date of Prediction	current year	current+1Y
IX.22	6.8	7.7
XI.22	6.6	7.6
I.23	8.1	5.5
II.23	7.9	5.9
IV.23	8.2	6.0
VI.23	8.7	6.5
VIII.23	8.8	6.8
IX.23	8.4	6.7

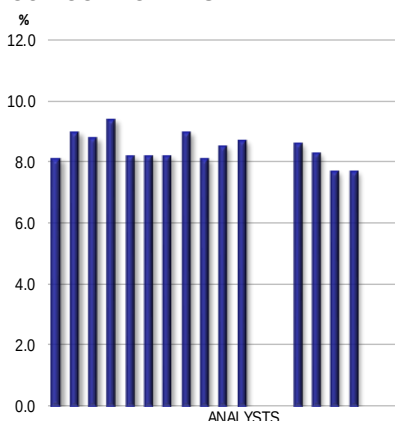
The registered unemployment rate in the Czech Republic rose by 0.1 pp to 3.6% at the end of August. This is 0.2 pp more than in the same period a year earlier. However, vacancies still outnumber applicants and the Czech Republic still has one of the lowest unemployment rates in the EU. The labour market thus remains relatively tight. The average gross nominal monthly wage rose by 7.7% year on year to CZK 43,193 in 2023 Q2. After taking inflation into account, however, wages decreased in real terms again (by 3.1%).

Compared to the Q1 figure (8.7%), the wage growth rate is surprisingly low. Concerns of double-digit growth did not materialise. Some of the analysts are of the opinion that the weaker data and the CNB's high rates are making a further gradual rise in the unemployment rate more likely. In this regard, the analysts even said in their comments that the slight increase in unemployment can be viewed as a return of the overheated and inflation-fuelling labour market to its steady state. The risk of slower wage growth for the rest of this year is increasing due to the weaker wage growth in Q2 and the expected gradual increase in the unemployment rate. Probably as a result of this, the analysts on average lowered their nominal wage growth estimates for both this year and the next. Nominal wages are thus expected to increase by 8.4% on average in 2023, 0.4 pp less than estimated in August. The outlook for next year is 6.7%, 0.1 pp lower than a month ago. Some of the analysts meanwhile believe that even relatively brisk nominal wage growth of around 8% may not be sufficient to cover inflation this year. Real wages could thus decline even further on average in 2023 as a whole.

The CNB's summer forecast expects nominal wage growth of 8.7% in 2023 and 7.8% in 2024.

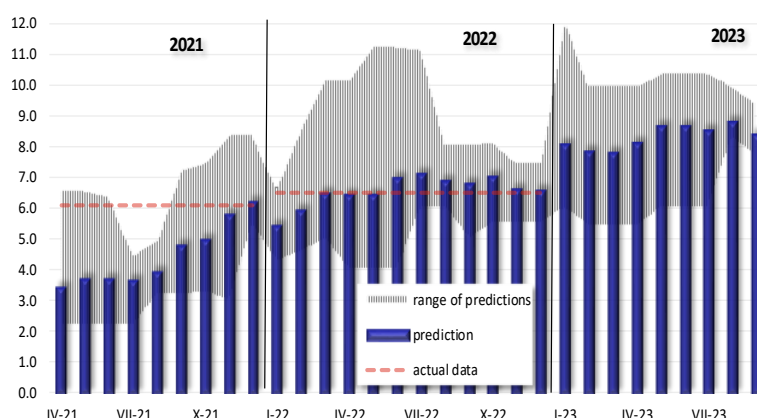
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



NOMINAL WAGE GROWTH

END OF CURRENT YEAR: AVERAGE AND RANGE OF PREDICTIONS (%)



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